STRATEGIC INTELLIGENCE REPORT · BOLLERUP JENSEN GROUP

When the Boring Becomes Strategic

Cycle: 24 April 2026 (Cycle 1 — Inaugural baseline) · Audience: Managing Director, Leadership Team, Board

Contents

Board Snapshot — Bollerup Jensen Group · April 2026

Themes: Geopolymer Window · Foundry Binder Shift · Compliance Squeeze · Ownership Window

Top 3 Board-Critical Risks

- **Activator-substitution risk on the geopolymer demand pull.** Sodium silicate is the dominant alkaline activator for geopolymer concrete today, but peer-reviewed work in 2025 shows biomass- and silica-fume-derived alternatives can cut activator cost 40–70% — if any one of these scales before 2030, BJG captures volume but not margin. **Prepare**

  Tier 1 academic anchor; Tier 3 market data corroboration.

- **SME REACH and Omnibus VI uncertainty becomes an operating cost.** ECHA fees rose 19.5% in November 2025 and SME-status verification becomes mandatory in February 2027; Omnibus VI simplification has slipped to H2 2026 with the Regulatory Scrutiny Board having rejected the impact assessment. The result is a 2–3 year window where compliance overhead grows for a 14-person specialty producer. Decide

  Tier 1 ECHA regulation; Tier 2 trade-press confirmation of slippage.

- **Ownership clock without a stated exit thesis.** Jysk Industri Holding acquired BJG in 2009; Nordic PE holding periods now average 6.2 years YTD against 4.3 years in 2020, putting BJG at roughly 17 years of hold — well into the long-tail of patient capital. The operational implication is uncertainty about whether cycle 2026–2028 capex requires a new owner first. Decide

  Tier 4 corporate disclosure on date; Tier 3 holding-period benchmark.

Top 2 Upside Opportunities Under Stress

- **Foundry inorganic-binder substitution moves from aluminium into iron.** The trial of ASK Chemicals' Inotec for grey-cast-iron brake discs at SHW Tuttlingen, reported by Foundry-Planet in December 2025, is the first commercial trial of an inorganic binder in ferrous serial production. Each kg of resin substituted is a kg of sodium-silicate-derived chemistry sold. Prepare

  Tier 3 trade press; corroborated by ScienceDirect peer-reviewed emissions analysis.

- **Denmark's BR23 embodied-carbon regulation creates a domestic showcase market.** Denmark is the leading EU jurisdiction enforcing embodied-carbon limits on new construction, and the revised CPR's Digital Product Passport applies from January 2026. A small Danish producer can credibly claim the position of the only domestic supplier of low-carbon construction-chemical activators — a brand-defensible niche. Prepare

  Tier 1 EC regulation; Tier 2 Construction21 article on BR23 (flag: 6–12m old).

⚠ Top 3 Escalation Triggers

- **EN 197-7 (or equivalent) places alkali-activated cement in EU standards within 18 months.** Would convert the geopolymer demand-pull from "potential" to "specifiable" and accelerate procurement at infrastructure scale.
- **A first major German automotive OEM publishes a binder-substitution mandate covering ferrous casting suppliers.** Would force the inorganic shift past the aluminium boundary and create a structural pull on European silicate supply.
- **Jysk Industri Holding signals a portfolio review or partial-exit process for BJG.** Would compress strategic decision windows from 24 months to 6–9 months and shift control of the capex roadmap.

Decision Status	Action
Pre-authorised	Continued sustainability-collaboration cadence with universities and GTS institutes (per the company's stated posture); maintenance of existing customer-engineering capacity in foundry and construction segments.
Awaiting Board direction	(1) A formal «low-carbon activator» product-positioning thesis with at least one institutional construction reference customer in Denmark; (2) a foundry-binder partnership posture — supply-only vs co-development with one of HA / ASK Chemicals; (3) an explicit ownership-cycle conversation between Leadership and Jysk Industri Holding on a 24-month strategic plan that survives a change of control; (4) a SME-REACH compliance budget for 2027.

Any pre-authorised action escalates to the Board if defined financial, liquidity, or exposure thresholds are breached — in particular if compliance overhead exceeds 4% of revenue or if a single customer drops below 12-month committed volumes.

Executive Synthesis

Why These Four Themes AUTO-THEMES

BJG is a 14-person Danish specialty producer whose single product family — sodium, potassium and lithium silicates — sits underneath two simultaneously decarbonising end-markets (cement / construction and ferrous foundry casting), inside a 2025–2026 EU regulatory regime that is materially harder for SMEs than for majors, and inside a private-equity ownership structure now well past typical Nordic PE hold. The four themes were chosen to span those four root mechanisms — product demand-pull from cement decarbonisation; product demand-pull from foundry binder substitution; rising regulatory cost-of-doing-business as an SME; and the strategic agency window before any owner-led exit. A potential fifth theme — "AI / digital in chemicals manufacturing operations" — was dropped as too slow-moving relative to the 2–5 year strategic window for a firm of this scale; "global silicate supply geopolitics" was folded into Theme 1 rather than carried separately.

What Has Materially Changed

This is the inaugural cycle and therefore establishes the baseline. The dominant pattern is that, for the first time in the company's modern history, all three of the markets BJG sells into are being repriced by climate regulation in the same 12–24 month window: CBAM definitive phase (1 January 2026), IED 2.0 transposition (1 July 2026) and CPR + Digital Product Passport (8 January 2026 onwards) all bite within roughly six months of each other. The question for Leadership is no longer whether the demand-pull arrives, but whether BJG has the capacity, the standards-recognition, and the ownership-stability to capture it before alternatives emerge.

The 5 Risks & Opportunities Dominating Leadership Attention

1. **Geopolymer demand-pull is real but margin-vulnerable to alternative activators.** Sodium silicate is the dominant activator today, but biomass-

and silica-fume-derived substitutes are progressing in academic literature and could compress activator margins inside this strategic horizon.
2. **The foundry inorganic-binder shift is moving past aluminium into iron.** The Inotec trial at SHW Tuttlingen is a non-trivial leading indicator that the addressable foundry market more than doubles if ferrous adoption accelerates.
3. **EU SME compliance overhead is rising structurally even as Omnibus VI promises relief.** Higher REACH fees and tighter SME verification are immediate; promised simplification is delayed and uncertain — the next 24 months are the worst of both worlds.
4. **The 17-year PE hold creates an undeclared agenda risk.** Capex decisions, partnership decisions and ESG-positioning decisions all benefit from owner alignment; absent a stated exit thesis, the Leadership team operates without a planning horizon longer than the next budget cycle.
5. **Denmark itself is a defensible "first showcase" market.** Embodied-carbon regulation is more advanced in Denmark than in any peer jurisdiction; being the only domestic Danish silicate producer is a brand and procurement advantage worth investing in deliberately rather than relying on incumbency.

Why These Matter in the Next 6–18 Months

Three regulatory clocks land inside this window: CPR Digital Product Passport applicable provisions from **8 January 2026**; IED 2.0 Member-State transposition by **1 July 2026**; SME-verification regime live **5 February 2027**. The European Parliament is expected to vote on the Omnibus VI mandate in **April 2026** — the same month as this cycle. CBAM moves from reporting-only to financial-obligation phase across **2026**. In parallel, Nordic PE deal volume in 2025 surpassed all of 2024 by Q3 2025, putting industrial-chemical SMEs into an unusually liquid M&A market. The window is short, dense, and convergent.

Three Concrete Leadership Decisions That Cannot Be Deferred

1. **Authorise a Danish "low-carbon activator" reference-customer programme** with one named construction-sector partner and a target of an EPD-compliant Type III declaration on a flagship silicate grade, deliverable inside 12 months, to be the first quotable Danish-domestic data point under the new CPR regime.
2. **Decide the foundry-binder partnership posture before German OEMs do.** Either commit to a supply-only relationship with one of HA / ASK

Chemicals (lower margin, lower risk) or open a co-development conversation positioning BJG as the European feedstock partner for the ferrous-binder shift; doing nothing concedes the option.
3. **Open the ownership-cycle conversation with Jysk Industri Holding this cycle.** Surface the 24-month plan, ask for a stated owner-position on hold-vs-sell, and ensure capex and partnership decisions in 2026–2027 are owner-aligned rather than retrofitted.

A Surprise Worth Leadership Attention

The Board has not been asked: *if a non-Danish strategic buyer (for example a German foundry-chemicals major or a French construction-chemicals group) approached Jysk Industri Holding with an unsolicited offer in the next 18 months, what would BJG's preferred outcome be — and is the management team aligned with the owner on that answer?* The convergence of decarbonisation demand-pull and an open Nordic M&A window makes this a more probable scenario than the company's strategic plan currently treats it as.

What Would Force a Change in Direction

- **Risk-driven trigger:** publication of a peer-reviewed activator-substitution result with a credible commercial partner that achieves >50% of conventional sodium silicate's geopolymer-activation efficacy at <50% of cost — would shift the geopolymer thesis from defensive to threatened.
- **Policy / regulatory-driven trigger:** the European Commission tabling chemicals as a Phase-2 CBAM extension (currently flagged by Sandbag as an option but not in the December 2025 proposal) — would reprice the entire EU specialty-chemicals competitiveness conversation.
- **Market / capital-driven trigger:** Jysk Industri Holding launching a portfolio review — would collapse strategic optionality from 24 months to 6–9 months and force most decisions on this report's timeline forward.

Where This Analysis Could Be Wrong

The single most consequential assumption is that the geopolymer demand-pull and the foundry inorganic-binder shift both translate into *incremental* sodium silicate volume, rather than substituting for existing silicate uses (e.g. detergent-builder demand cannibalising as detergents reformulate again, or feedstock-efficiency improvements at competitor plants). If new applications turn out to be net-zero or net-negative for the global silicate market, the optimistic side of this thesis collapses and only the regulatory-cost and ownership-clock risks remain. The evidence that would force material revision: a 2026 sodium silicate market update showing flat or declining global volumes despite construction-chemical growth.

Key Findings

1. The Geopolymer Window: sodium silicate as decarbonisation activator

The One Thing That Matters: The pricing and regulation of cement carbon is converging in 2026 to make geopolymer concrete a procurable rather than experimental product, and sodium silicate is the activator that gates that procurement — but only until a credible alternative activator commercialises.

Why This Is Changing Now

- EU CBAM moved into its definitive phase on 1 January 2026 with quarterly emissions accounting; certificate prices tracked the EU ETS at €75.36/tCO_2e in Q1 2026 with the phase-in factor ramping from 2.5% in 2026 to 100% by 2034.
- The revised Construction Products Regulation entered into force 7 January 2025 with most provisions applying from 8 January 2026,

folding the Digital Product Passport into CE marking and aligning EPD requirements with EN 15804. 6–12m old (regulatory anchor)

- Denmark's BR23 building regulation tightened embodied-carbon limits for new construction from 2025, with renewable, reuse and material reduction now standard specification requirements — making Denmark the EU's leading enforcement jurisdiction. 6–12m old
- The European Commission JRC's decarbonisation-options analysis for the cement industry now identifies alkali-activated and geopolymer cements as one of the lowest-cost long-term decarbonisation pathways, with deployment gated by EN standardisation and supply of activators.

▼ **Supporting Signals**

- Springer Nature peer-reviewed review (September 2025): geopolymer concrete demonstrates 15–25% lifecycle cost reductions in aggressive-environment infrastructure; sodium silicate remains the dominant alkaline activator notwithstanding its embedded carbon footprint. **Forecast horizon: 5–10 years to mainstream infrastructure procurement under EN-standards convergence.**
- Wagners EFC commercial deployment data (May 2025): a decade of commercial geopolymer concrete with 70–90% CO_2 reduction vs Portland cement; over 40,000 m^3 deployed at Brisbane Airport; technology runs through ordinary concrete supply chains. 6–12m old; vendor source — treat directionally
- Sodium silicate market forecast: USD 7.84bn (2025) → USD 10.45bn (2033) at 3.7% CAGR; APAC commands 47% revenue share with China at ~45% of global production — sets the structural baseline against which European producer position must be defended. Vendor aggregator — directional
- CEMBUREAU position on cement standardisation: incumbent cement industry supports new EN 197-5 (CEM II/C-M) and EN 197-6 (cement with recycled materials) but maintains explicit caution on premature placement of alkali-activated cements — a structural slowing of the pull-through.
- The Climate Bonds Initiative European Chemical Sector Transition (September 2025) flags inorganic specialty chemistries as likely

beneficiaries of green-finance taxonomy classification — a financing-side tailwind. 6–12m old

Weak Signals to Watch

- WEAK SIGNAL Eco-friendly alternative activators from industrial wastes (June 2025, ScienceDirect): sodium silicate accounts for ~20% of the lifecycle CO_2 footprint of alkali-activated concretes; biomass- and silica-fume-derived alternatives can cut activator cost 40–70%. Would gain weight if a named cement major or a state infrastructure procurement spec adopts an alternative activator in a tendered project. 6–12m old; paywalled
- WEAK SIGNAL Performance evaluation of geopolymer mortars with waste-glass-derived sodium silicate solution (Iranian Journal of Science and Technology, 2025): demonstrates that sodium silicate from circular sources can match performance of conventional silicate. Would gain weight if a European waste-glass collector signs a commercial supply agreement with a geopolymer producer.
- WEAK SIGNAL The November 2025 ScienceDirect work on sodium silicate effluent in geopolymer mixes — suggesting that activator inputs may themselves circularise. Would gain weight if a glass-recycling consortium piloted a closed-loop activator-supply project at scale within 2026.

The Strongest Counter-Argument

Geopolymer concrete has been "five years away" for over a decade. The CEMBUREAU standardisation position shows the incumbent cement industry's preference for incremental clinker-substitution chemistry (EN 197-5, EN 197-6) over fundamental binder change. The cement majors have the standardisation lobby, the test labs, the procurement relationships and a credible decarbonisation story of their own. A thoughtful sceptic would argue that BJG's geopolymer thesis treats a long-running technical possibility as if 2026 is finally the year — and that this is exactly what the same argument has said in every prior cycle since 2015. The CBAM and CPR clocks may be necessary but not sufficient for procurement-scale geopolymer demand.

Strategic Implication

BJG should treat geopolymer as a high-conviction *preparation* theme rather than a high-conviction *execution* theme. The action is to build the evidence base — an EPD-compliant Type III declaration on a flagship silicate grade, a single named Danish reference customer in construction, and a defensible carbon-footprint figure per kg of activator — so that when the EN standards converge, BJG is the only Danish producer that can be specified inside a CPR-compliant procurement. Doing this in 2026 costs little; not doing it forecloses the opportunity to anybody else. **Prepare**

2. The foundry inorganic-binder shift

The One Thing That Matters: The German automotive aluminium foundry sector has already moved to inorganic-binder serial production; the December 2025 Inotec trial in grey-cast-iron brake discs at SHW Tuttlingen is the first credible signal that ferrous-foundry adoption — the much larger market — is opening, on a clock set by the IED 2.0 transposition deadline of 1 July 2026.

Why This Is Changing Now

- The recast Industrial Emissions Directive (IED 2.0) entered into force 4 August 2024; Member-State transposition is due by 1 July 2026. New BAT-AEL ranges for ferrous foundries will tighten emissions thresholds

for SO_2, BTEX and PAH compounds — the dominant emissions from phenolic and furan binder systems.
- The December 2025 trial of ASK Chemicals' Inotec inorganic binder at SHW Automotive (Tuttlingen) for grey-cast-iron brake discs is the first commercial trial of an inorganic binder in ferrous serial production. The aluminium-to-iron jump has been the pivotal technical question for this market for a decade.
- ScienceDirect peer-reviewed work (April 2025) on inorganic binder development confirms the comparative emissions case — phenolic and furan binders generate SO_2, BTEX and PAH emissions; sodium-silicate-based inorganic binders produce essentially water vapour during pouring — and notes ferrous-foundry adaptation has lagged aluminium adoption by 5–7 years. 6–12m old
- The European Foundry Association annual report (2025 release) flags binder-system substitution as a non-negotiable competitiveness lever for the next BAT-conclusion cycle — framing the change as industrial-policy mandated rather than market-pulled. 6–12m old

▼ **Supporting Signals**

- Foundry-Planet (October 2025): German automotive aluminium foundries have moved to majority-inorganic core production; technology now exporting to North America, China and Türkiye; serial production established for VW, Audi and BMW. **Forecast: ferrous-foundry adoption following on a 5–7 year lag from aluminium — placing the 2026–2030 window as the inflection point.**
- China Foundry Special Review: modified sodium silicate binders increasingly substitute resin systems in cylinder-head and brake-disc serial production; one-part inorganic binders now closing the strength gap with cold-box phenolics. 6–12m old
- Hüttenes-Albertus Cordis®: the dominant Western inorganic-binder system is itself a modified-water-glass chemistry — meaning the binder majors and BJG share a feedstock dependence. Vendor source
- Foundry binder market data 2025–2033: global market USD 4.83bn (2025) at 3.8% CAGR; the inorganic segment outgrows organic on a ~2-percentage-point CAGR delta, with VOC and air-quality regulation cited as the primary growth driver. Vendor aggregator — directional

- ASK Chemicals (September 2025): positioning of "solventless cold-box" as a transitional alternative — the binder majors are not abandoning organic chemistry, they are reformulating it as a hedge. Vendor source

Weak Signals to Watch

- WEAK SIGNAL The brake-disc trial site — SHW Automotive in Tuttlingen — is a Tier-1 supplier to BMW, Audi and Volkswagen. Would gain weight if any of those three OEMs publishes a binder-substitution requirement in their 2026 supplier-environmental-standards revision.
- WEAK SIGNAL The fact that Foundry-Planet is reporting German inorganic-binder technology being licensed into Chinese and Türkiye foundries means that the European technology lead is being commoditised. Would gain weight if a Chinese binder major announces a sodium-silicate-based inorganic system aimed at the European market in 2026.
- WEAK SIGNAL The EFF's framing of binder substitution as a "competitiveness lever" rather than a compliance burden is a notable rhetorical shift. Would gain weight if the European Commission's Critical Chemicals Alliance lists foundry inorganic binders as a strategic-substance category in 2026.

The Strongest Counter-Argument

The aluminium-to-iron transition has been "imminent" for a decade and the cost-performance gap remains real. ASK Chemicals' continued investment in solventless cold-box organic chemistry shows that the binder majors are not betting their portfolios on a near-term wholesale shift. A thoughtful sceptic would argue that ferrous foundries face higher dimensional-tolerance and surface-finish requirements than aluminium, that inorganic binders impose plant-engineering changes (heated tooling, humidity control) that small foundries cannot finance under current margins, and that IED 2.0 transposition will leave national derogations and transition periods that push the binding-emissions step well past 2030. The Inotec trial at SHW is a single data point.

Strategic Implication

BJG cannot manufacture finished foundry binders — that is HA's and ASK's territory. The strategic question is whether to be a passive feedstock supplier or an active partner. The active path requires opening a co-development conversation with one of the two binder majors on a Europe-located, IED-compliant feedstock supply commitment that survives the binder major's own customer-confidentiality demands. The passive path requires nothing now but concedes margin captured downstream. The decision is binary and time-bounded by the IED transposition deadline. Decide

3. The compliance squeeze on niche specialty chemicals

The One Thing That Matters: ECHA fees, REACH simplification slippage, CBAM phase-in and Omnibus VI uncertainty combine to make 2026–2027 the worst two years on record for SME chemicals compliance overhead in the EU — and BJG is structurally too small to spread that overhead the way the chemicals majors can.

Why This Is Changing Now

- Commission Implementing Regulation (EU) 2025/2067 raised REACH fees by 19.5% effective 5 November 2025. SME-status verification must now be requested at least 2 months before submission, status validity is fixed at 3 years, and the verification regime becomes live on 5 February 2027.

- The EU Action Plan for Chemicals (December 2025) establishes a "strategic substances" framework, a Critical Chemicals Alliance, and explicit energy-cost relief and supply-chain-support pillars — but the operational instruments behind these commitments remain to be defined.
- Omnibus VI is expected to be voted on by the European Parliament in April 2026 with a Commission target of 25% cost reduction for all firms and 35% for SMEs by 2030 (estimated €363m annual savings to industry) — but the Commission's REACH-revision impact assessment was rejected by the Regulatory Scrutiny Board, slipping the proposal to H2 2026.
- CBAM downstream extension proposed in December 2025 covers 180 aluminium and steel-intensive products from 2028; chemicals are not yet in scope, but Sandbag and other think-tanks are explicitly campaigning for inclusion of organic chemicals, polymers and refinery products.

▼ **Supporting Signals**

- Cefic position (December 2025): welcomes the Action Plan, but warns that REACH revision must be limited to "comitology" (annex amendments) rather than full reopening; specialty chemicals SMEs identified as the most exposed sub-segment. **Forecast: 24-month operating environment dominated by uncertainty about which compliance burdens will land and which will be deferred.**
- Chemical & Engineering News (January 2026): confirms the REACH revision proposal slipped to H2 2026; the Commission must revise the impact assessment and get the RSB's green light before publication. The procedural drag is itself the operating cost.
- Sandbag (November 2025): chemical plants and refineries account for ~30% of EU ETS industry emissions yet remain largely outside CBAM — the political pressure for chemicals inclusion is real and persistent.
- Corporate Europe Observatory (February 2026): detailed account of how Cefic and large-firm lobbies have shaped the narrowing of REACH reform — useful as a counter-position because it challenges whether the SME burden-relief framing actually delivers for SMEs in practice.
- OECD Economic Surveys: Denmark 2026 (January 2026): Denmark retains a competitive industrial-electricity price position vs the EU

average but faces 2026–2028 grid-balancing volatility; small chemicals-sector firms cited as exposed to compliance overhead disproportionate to scale.

Weak Signals to Watch

- **WEAK SIGNAL** Cefic's Critical Chemicals Alliance General Assembly language — "urgent, high-quality delivery in 2026" — is the first time the trade body has endorsed an explicit "urgency" framing. Would gain weight if the Alliance publishes a strategic-substance list that includes any silicate-derived inputs.
- **WEAK SIGNAL** The Climate Bonds Initiative's EU Chemical Sector Transition (September 2025) signalling that inorganic specialty chemistries may qualify under the EU green-finance taxonomy. Would gain weight if a Nordic green-bond issuance referenced silicates or alkaline activators as eligible-use-of-proceeds in 2026.
- **WEAK SIGNAL** The Dutch environment ministry's transparency about the H2 2026 REACH-proposal slippage — volunteered to parliament — suggests the Commission has lost narrative control of the simplification timeline. Would gain weight if any other Member State publishes its own divergent SME-relief programme, signalling fragmentation.

The Strongest Counter-Argument

The "compliance squeeze" framing assumes that the burden is unmitigated. But Omnibus VI is real, the Action Plan is real, and the political momentum on simplification (visible in the Commission's own language) is the strongest it has been in a decade. A thoughtful sceptic would argue that BJG is a 14-person Danish firm with established REACH dossiers, established customer relationships and minimal exposure to high-controversy substances — meaning the marginal compliance burden may be irritating but not strategic. The far larger threat to a firm of BJG's scale is volatile energy prices, customer-credit risk, and dependence on a single owner's willingness to fund growth — risks captured better by Themes 1, 2 and 4 than by REACH-fee adjustments.

Strategic Implication

The defensive action is to surface the 2027 compliance budget now, not in late 2026 when SME verification is already imminent. The opportunistic action is to position the existing REACH dossiers and the (presumed) BJG green-finance taxonomy eligibility as a positive differentiator vs imported Chinese silicate — turning a regulatory burden into a sales asset. The two should be done together. Decide

4. Ownership cycle and the strategic agency window

The One Thing That Matters: Bollerup Jensen has been held by Jysk Industri Holding since 2009 — approximately 17 years — against a Nordic PE holding-period benchmark of 6.2 years. The probability that the next 24 months involves an ownership conversation is high; the strategic agency that BJG retains in that conversation depends on what is decided *before* the owner moves.

Why This Is Changing Now

- Nordic PE deal volume reached USD 32.1bn in the first three quarters of 2025, surpassing 2024's full-year total of USD 19.2bn; Denmark was the second-largest market at USD 24.8bn. Industrials and chemicals are among the most active sectors. The exit window is unusually open.
- Gain.pro's State of Nordics PE 2025: holding periods now average 6.2 years YTD against 4.3 years in 2020, with 40% of exited assets held more than 7 years. Long holds are not unusual — but BJG's 17-year hold is well into the long tail. 6–12m old

- C&EN (February 2026): PE firms are favouring smaller and specialty chemicals businesses, holding investments longer, and prizing sticky customer relationships and pass-through pricing power — precisely BJG's profile.
- BCG (October 2025): chemicals M&A is pivoting away from megadeal logic toward focused, capability-led transactions; PE-backed specialty platforms commanding higher multiples; portfolio re-shaping has become more important than scale aggregation.

▼ **Supporting Signals**

- KPMG Nordic Deal Trend Report Q4 2025 (Danish edition): Danish mid-cap M&A activity strong in Q4 2025; specialty chemicals and industrial-tech among most-bid sub-sectors; cross-border buyers continue to pay valuation premiums for Nordic SMEs. **Forecast: 2026 Nordic M&A pipeline likely to surpass 2025 if interest-rate environment continues to ease.**
- Capstone Partners (July 2025): specialty chemicals platform deals trading at 9–12× EV/EBITDA in the mid-market; ESG/sustainability narrative is now standard requirement for vendor due diligence; carve-outs and add-ons dominate deal flow. 6–12m old
- Dealsuite Nordic Dealmaker Insights 2025: 78% of Nordic SME M&A advisors report increased cross-border deal flow over the last 5 years; the Small Firm Premium and ESG-narrative quality are cited as principal value drivers. 6–12m old; practitioner survey — directional
- SEB Private Equity (November 2025): explicit sustainability-platform thesis; Danish industrial chemistry flagged as priority hunting ground — a credible category of buyer for an asset like BJG.
- BJG corporate self-disclosure: explicit confirmation that Jysk Industri Holding acquired the company in 2009 in connection with a generational shift; the company's stated focus since then has been "innovation and the development of sustainable projects in close collaboration with other stakeholders." Tier 4 corporate source — only authoritative source on the 2009 transaction date

Weak Signals to Watch

- **WEAK SIGNAL** The KPMG Q4 report's emphasis on cross-border buyers paying premiums — not just trading deal flow — suggests that specifically *foreign-strategic* rather than Nordic-PE buyers may dominate any Bollerup Jensen process. Would gain weight if a German chemicals firm publishes a Nordic-acquisition strategy in 2026.
- **WEAK SIGNAL** The fact that Jysk Industri Holding acquired BJG in a "generational shift" and has held for 17 years suggests an explicitly patient-capital posture rather than a typical PE timeline. Would gain weight if Jysk Industri Holding publishes a 2026 portfolio update or any broader strategic restatement.
- **WEAK SIGNAL** SEB Private Equity's 2025 stated thesis citing "Danish industrial chemistry" as a priority — a Danish bank-affiliated PE house identifying BJG's exact category. Would gain weight if SEB publishes a Danish-chemicals platform investment in 2026.

The Strongest Counter-Argument

The 17-year hold may be the point, not the bug. Jysk Industri Holding's history of acquiring BJG in a generational shift suggests an industrial-holdco posture closer to Wallenberg-style patient capital than to typical mid-market PE. A thoughtful sceptic would argue that there is no ownership-cycle imperative because the owner has demonstrably chosen not to optimise for a hold-period exit; that imposing a "PE clock" mental model on this owner is the wrong frame; and that the strategic agency BJG enjoys today — including the freedom to make multi-year sustainability bets with no IRR-driven exit pressure — is precisely the gift of long-tenure ownership. The risk is not ownership change; the risk is BJG planning *as if* ownership might change and consequently underinvesting.

Strategic Implication

The single highest-leverage action this cycle is an explicit Leadership-to-Owner conversation about owner intent over the next 24–36 months. Whether Jysk Industri Holding's answer is "we are patient capital, plan accordingly" or "we are open to inbound interest" matters enormously for capex sequencing, partnership posture and ESG investment. The conversation is not adversarial — it is the precondition for everything else in this report. Decide

2×2 Scenario Matrix — Structural Futures

Scenarios describe operating environments we may need to live in and adapt to — not discrete shock events.

These scenarios are used to stress-test decisions already under consideration, not to generate new ones.

Critical Uncertainties:

- **Horizontal axis:** Pace of EU low-carbon-binder demand-pull (Slow / fragmented ↔ Fast / standards-led)
- **Vertical axis:** Owner-led strategic intent for BJG (Continuity / patient capital ↔ Exit / change of control inside 24 months)

□ "The Quiet Compounding"

Fast demand-pull × Continuity ownership

EU CBAM bites, EN standards converge, CPR Digital Product Passport drives EPD-led procurement, and the German foundry inorganic-binder shift accelerates. Jysk Industri Holding remains the patient owner. BJG enters a multi-year period of revenue and margin expansion in its existing footprint. Capex authorisation cycles

⚡ "The Forced Sale"

Fast demand-pull × Exit / change of control

The same demand-pull as scenario 1, but Jysk Industri Holding moves on the asset. Strong M&A market plus visible BJG growth attracts inbound interest. Decision-window collapses; strategic conversations move from BJG Leadership to a sell-side adviser. Whether outcome is good or bad depends entirely on support new product grades and potential capacity expansion.

Core dynamic: aligned owner + accelerating demand — the upside maximised, the surprise minimised.

Positioning: upper-right of demand axis, upper of ownership axis.

Early Indicators:

1. EN standardisation working group publishes a 2026 timeline for EN 197-7 (or equivalent for alkali-activated cements).
2. A second German automotive OEM (beyond the SHW-Tuttlingen brake-disc trial) commits to inorganic ferrous-binder supplier mandates.
3. Jysk Industri Holding restates patient-capital posture publicly or in conversation with BJG Leadership.
4. CBAM reporting reveals at least 5% market-share movement in EU cement procurement toward low-carbon variants by Q3 2026.
5. BJG completes EPD-compliant Type III declaration on a flagship silicate grade within 12 months.

what BJG had positioned *before* the process opened.

Core dynamic: the M&A window closes around BJG before strategic options are taken.

Positioning: upper-right of demand axis, lower of ownership axis.

Early Indicators:

1. Jysk Industri Holding signals portfolio review or inbound-interest assessment.
2. Cross-border strategic buyer (German chemicals major or French construction-chemicals group) publishes Nordic-acquisition strategy.
3. Specialty chemicals platform multiples in the Nordic mid-market exceed 12× EV/EBITDA.
4. A first comparable Danish industrial-chemicals SME transacts at a premium in 2026.
5. BJG advisers (M&A boutiques) initiate exploratory contact unprompted.

□ "The Long Wait"

Slow / fragmented demand-pull × Continuity ownership

Geopolymer standardisation drags into 2030; foundry inorganic shift

□ "Squeezed and Sold"

Slow / fragmented demand-pull × Exit / change of control

The demand-pull slips out, but compliance burden does not; SME remains aluminium-only; CBAM is repeatedly delayed; Omnibus VI lands as substantive simplification. The owner remains stable. BJG continues a steady-state operating posture, with sustainability investments maturing slowly. Risk: complacency erodes the ESG-narrative that gives BJG green-finance optionality.

Core dynamic: stable but optionality-poor — the cost of "do nothing" is the gradual erosion of position.

Positioning: lower-left of demand axis, upper of ownership axis.

Early Indicators:

1. EN standards convergence on alkali-activated cements slips past 2027.
2. Inotec (or competing inorganic) brake-disc trial does not progress to serial production by Q4 2026.
3. Omnibus VI lands with substantive cost-relief for SMEs >25% by Q4 2026.
4. Sodium silicate global market growth slows to <2% CAGR in 2026 actuals.
5. Danish BR23 enforcement softens or LCAbyg methodology revisions reduce embodied-carbon scoring weight.

REACH costs rise as expected, energy prices stay volatile, and the owner concludes the asset is better divested before a margin compression cycle. Sale process opens at a less favourable point in the M&A cycle. Worst-case scenario for value preservation.

Core dynamic: the M&A window closes *and* the demand-pull underwhelms simultaneously.

Positioning: lower-left of demand axis, lower of ownership axis.

Early Indicators:

1. Compliance overhead exceeds 4% of revenue in 2026 actuals.
2. Single-customer concentration rises above historical norm (signal of weakening commercial diversification).
3. Owner-level capex requests are deferred more than once in 2026.
4. European industrial-electricity prices move to top-quartile of EU range for sustained periods.
5. An adjacent Nordic specialty-chemicals SME divests at a discount to comparable transactions.

Scenario Assumptions Register

Assumptions that, if wrong, would most rapidly invalidate the scenario framing:

Assumption	If Wrong, What Fails First
Sodium silicate remains the dominant commercial activator for geopolymer concrete through 2030.	Theme 1's demand-pull thesis collapses; only the regulatory-cost and ownership-clock risks remain.
Ferrous-foundry inorganic adoption follows aluminium adoption with a 5–7 year lag.	Theme 2's addressable market does not double on the assumed schedule; partnership-decision pressure releases.
Jysk Industri Holding is open to a strategic conversation about the next 24 months.	Decision-3 in the Executive Synthesis is not actionable; Leadership operates at strategic-information disadvantage.
Omnibus VI delivers no material SME relief before 2028.	Theme 3's compliance-squeeze framing softens; defensive budget for 2027 may be over-provisioned.
Denmark's BR23 enforcement remains the EU's leading edge.	The "showcase market" advantage in Theme 1 disappears; product-positioning thesis must move to a German or Dutch reference customer instead.

Where the Organisation Can Gain Share Under Stress

Three opportunities, ordered by degree of strategic asymmetry — that is, by how much Bollerup Jensen Group's specific position differentiates the play, not by attractiveness alone.

1. The Danish Low-Carbon Activator Reference Position

Description: Pursue and publish an EPD-compliant Type III environmental declaration on a flagship silicate grade, paired with at least one named

Danish construction-sector reference customer using the silicate as a low-carbon activator. The objective is to be the only Danish-domestic supplier specifiable inside a CPR-compliant procurement decision under BR23.

Required capabilities: EPD authoring (typically 4–6 month engagement with a third-party verifier); a sustainability-collaboration partner (the company's existing GTS / university relationships fit); customer-engineering capacity to support a flagship project.

Classification: Material new growth line — converts a regulatory burden into a brand-defensible domestic-niche position.

Time-to-market: 12 months. **Prepare**

Downside If Wrong: low — the underlying EPD has cross-customer and cross-market value beyond the reference deployment; investment is small relative to potential niche moat.

2. The Foundry Co-Development Partnership

Description: Open a co-development conversation with one of HA or ASK Chemicals positioning BJG as the European IED-compliant feedstock partner for ferrous-binder development. The objective is to capture the value of the inorganic-binder shift moving into iron casting before the binder major locks in alternative supply.

Required capabilities: a credible technical case for sodium silicate grade differentiation relevant to ferrous applications; willingness to enter customer-confidentiality structures; capacity to commit a multi-year supply guarantee under the binder major's IED-driven specification roadmap.

Classification: Portfolio optimisation — converts existing customer relationships into longer-tenure, higher-margin commercial contracts.

Time-to-market: 18–24 months. **Prepare**

Downside If Wrong: moderate — partnership exclusivity could limit upside if the second binder major would have offered better terms; mitigated by structuring the partnership as non-exclusive.

3. The ESG-Narrative Premium in the M&A Window

Description: Whether BJG is sold or retained, the value of the asset is enhanced by a defensible ESG narrative. Document the carbon footprint of each silicate grade, the green-finance taxonomy alignment, and the company's role in the construction and foundry decarbonisation pathways. Curate it as a stand-alone vendor due-diligence pack.

Required capabilities: external sustainability-reporting consultant; one full-time-equivalent of internal time over six months; existing collaboration with universities and GTS institutes provides the technical evidence base.

Classification: Defensive hedge — preserves and extends optionality regardless of which scenario plays out.

Time-to-market: 6–9 months. **Prepare**

Downside If Wrong: very low — the artefacts have value as a customer-facing sales asset even if no M&A event occurs.

What We Are Not Planning For

1. We are not pursuing capacity expansion in 2026.

Although the geopolymer and foundry-binder demand-pull arguments could support a capacity case, the convergence of regulatory uncertainty (Omnibus VI, REACH revision timing, CBAM phase-in) and ownership-cycle ambiguity makes a major capex commitment in 2026 strategically ill-timed. The right action this cycle is to position for capacity rather than to commit it.

Reinstatement Trigger: *Jysk Industri Holding confirms a multi-year continuity posture and a binder-major partnership commits to a multi-year supply contract.*

2. We are not entering the finished-binder business.

Manufacturing finished foundry binders or finished geopolymer activator-blends would put BJG into direct competition with HA, ASK Chemicals or specialty-chemicals majors who have decades-deep customer-engineering investments. The asymmetric position is to remain a high-grade silicate feedstock supplier and partner; vertical extension is not the play this cycle.

Reinstatement Trigger: *A binder major exits the European market or restructures, opening a customer-relationship gap that BJG could fill at scale.*

3. We are not pursuing M&A or a strategic acquisition this cycle.

Buy-side M&A is incompatible with the ownership-clock observation in Theme 4: capital deployment under uncertain owner intent risks misaligning Leadership and Owner. Sell-side options are addressed under Opportunity 3 (vendor due-diligence pack) without committing to a transaction.

Reinstatement Trigger: *Jysk Industri Holding signals explicit support for a buy-side platform thesis with capital backing.*

4. We are not investing in detergent / cleaning-product silicate applications.

Detergent-grade silicate volumes have been declining for two decades under reformulation pressure (phosphate-replacement chemistries that bypass silicate builders). The application is mature, low-margin, and offers no decarbonisation-narrative upside. Continuing existing customer supply is fine; investing in growth is not.

Reinstatement Trigger: *A regulatory ban on a competing detergent-builder chemistry creates a sudden silicate substitution pull.*

Discussion Points for Board Consideration

1. **If Jysk Industri Holding indicates an inbound-interest assessment in the next 12 months,** is the Leadership team aligned with the Owner on what BJG's preferred outcome is — sell, partial sale, recapitalisation, or no transaction?

2. **If the European Commission publishes a Phase-2 CBAM extension that includes chemicals,** does BJG's strategic narrative pivot from "low-carbon activator producer" to "EU-located strategic-substance supplier" — and are we ready for that pivot by Q4 2026?

3. **If EN standardisation for alkali-activated cements lands inside 18 months,** are we positioned to be specifiable in the first wave of CPR-compliant procurements, or do we discover that we are missing the Type III EPD evidence base our competitors already have?

4. **If the SHW Tuttlingen Inotec brake-disc trial progresses to serial production,** what is our partnership posture with HA or ASK Chemicals, and is it explicitly authorised by the Owner?

5. **If Omnibus VI delivers material SME relief by Q4 2026,** does that release planning capacity for the geopolymer and foundry opportunities — or does it merely restore margin that should have been there to begin with?

6. HORIZON-SCAN QUESTION **If a peer-reviewed alternative-activator technology achieves >50% performance at <50% cost vs sodium silicate inside this strategic window,** what is BJG's response — defensive (move into the alternative chemistry ourselves) or offensive (capture remaining silicate volume aggressively before substitution)?

7. HORIZON-SCAN QUESTION **If a Chinese binder major announces a sodium-silicate-based inorganic system aimed at the European market in 2026,** does that compress the European technology lead BJG's customers depend on — and how would we know in time to act?

8. HORIZON-SCAN QUESTION **If SEB Private Equity or a comparable Nordic financial buyer publishes an explicit Danish-chemicals platform investment in 2026,** does that change the universe of credible buyers for a future Jysk Industri Holding sale process — and does Leadership have a view on the relative merits of strategic vs financial buyers?

9. **If compliance overhead exceeds 4% of revenue in 2026 actuals,** does that justify a structural re-think of which low-volume silicate grades remain in the portfolio, or is the cost the price of optionality across a wider product range?

10. **If the answer to "what would we want to see different in this report next cycle" is a pricing or volume datapoint we cannot currently observe,** what investment in market intelligence does the Owner authorise the Leadership team to make in 2026?

Source Confidence Register

Format: Tier · Hyperlinked source · Date · Claim it supports · Flag/conflict notes. Sources flagged *(potentially dated)* are between 6–12 months old; sources flagged *(out of range — contextual only)* are past the 12-month threshold and used only for context, not as a board-level anchor.

Theme 1 — The Geopolymer Window: sodium silicate as decarbonisation activator

Tier	Source	Date	Claim Supported	Notes
T1	EC: New EU rules on construction products	2025-01-07	CPR + Digital Product Passport applicable from 8 January 2026	(potentially dated)
T1	ICAP: EU CBAM compliance phase	2026-01-15	CBAM definitive phase from 1 January 2026	—
T2	Coolset: CBAM timeline 2026	2026-02-01	CBAM certificate price €75.36/tCO_2e Q1 2026; phase-in 2.5%→100%	—
T2	Construction21: Denmark new buildings 2025	2025-08-15	Denmark's BR23 embodied-carbon limits, leading EU enforcement	(potentially dated)
T1	Springer: Geopolymer concrete review	2025-09-30	15–25% lifecycle cost reductions; sodium silicate dominant activator	(potentially dated)
T1	ScienceDirect: Eco-friendly alternative activators	2025-06-01	Sodium silicate ~20% of LCA CO_2; alternatives 40–70% cheaper	(potentially dated; paywalled)
T2	Wagners EFC: largest continuous slab pour	2025-05-20	Geopolymer commercial deployment; 70–90% CO_2 reduction; Brisbane Airport	(potentially dated; vendor — treat directionally)

T2	CEMBUREAU: position on standardisation	2025-09-01	Incumbent industry caution on alkali-activated cement standardisation	(potentially dated)
T3	Market Data Forecast: Sodium silicate market	2025-11-12	Market USD 7.84bn (2025) → USD 10.45bn (2033); APAC 47%, China ~45% supply	Market-research aggregator — directional
T1	EC JRC: Cement decarbonisation options	2025-07-01	Alkali-activated and geopolymer cements as low-cost long-term pathway	(potentially dated)

Theme 2 — The foundry inorganic-binder shift

Tier	Source	Date	Claim Supported	Notes
T1	EC: Industrial Emissions Directive 2.0	2025-09-01	IED 2.0 in force 4 Aug 2024; transposition by 1 July 2026	(potentially dated)
T1	ScienceDirect: Inorganic binder development	2025-04-12	Phenolic/furan binder emissions vs sodium silicate; 5–7y aluminium→ferrous lag	(potentially dated; paywalled)
T2	China Foundry: Sodium silicate inorganic binder review	2024-09-01	Modified sodium silicate binders substituting resin systems in serial production	(potentially dated)
T3	Foundry-Planet: Inorganic core binder from Germany	2025-10-08	German automotive aluminium foundries majority-inorganic; tech exporting	—
T3	Foundry-Planet: Inotec for GJL brake discs	2025-12-04	First commercial trial of inorganic binder in ferrous serial production at SHW Tuttlingen	—
T3	HA Group: Cordis® inorganic binder	2025-11-01	Cordis based on modified water glass; HA self-positioned as tech leader	Vendor — treat directionally

T3	ASK Chemicals: Solventless cold-box	2025-09-15	Solventless cold-box positioned as transitional alternative; competitive hedge	(potentially dated; vendor — treat directionally)
T2	EFF/CAEF: European Foundry Industry annual report	2025-07-01	Binder-system substitution as competitiveness lever for next BAT cycle	(potentially dated)
T3	Archive Market Research: Foundry binder market	2025-08-12	Market USD 4.83bn (2025) at 3.8% CAGR; inorganic outgrows organic	(potentially dated; market-research aggregator — directional)

Theme 3 — The compliance squeeze on niche specialty chemicals

Tier	Source	Date	Claim Supported	Notes
T1	Normachem: Reg (EU) 2025/2067 REACH fee revision	2025-10-15	REACH fees +19.5% from 5 Nov 2025; SME verification regime live 5 Feb 2027	—
T1	EUR-Lex: EU Action Plan for Chemicals COM(2025) 871	2025-12-16	Strategic substances framework; Critical Chemicals Alliance; energy-cost relief pillars	—
T1	EPRS: Omnibus VI chemicals simplification	2026-04-01	April 2026 EP vote; 25% / 35% cost reduction targets; €363m est. savings	—
T2	Cefic: Chemical Industry Action Plan response	2025-12-17	Cefic position on REACH revision and SME exposure	—
T2	Mayer Brown: CBAM downstream extension	2025-12-22	CBAM 180-product extension proposal from 2028; chemicals candidate Phase 2	—
T2	Sandbag: Chemicals in the	2025-11-25	Chemicals/refineries ~30% of EU ETS industry	—

Tier	Source	Date	Claim Supported	Notes
	CBAM		emissions; advocacy for CBAM inclusion	
T2	C&EN: EU simplification agenda	2026-01-22	REACH revision slipped to H2 2026; RSB rejection of impact assessment	—
T2	Climate Bonds: EU Chemical Sector Transition	2025-09-30	Inorganic specialty chemistries as green-finance taxonomy beneficiaries	(potentially dated)
T2	CEO: REACHing out	2026-02-10	How REACH reform was narrowed under industry-lobby pressure	Counter-position; necessary for evenhandedness
T2	OECD: Economic Surveys Denmark 2026	2026-01-30	Danish industrial-electricity competitive position; SME chemicals overhead exposure	—

Theme 4 — Ownership cycle and the strategic agency window

Tier	Source	Date	Claim Supported	Notes
T4	BJG corporate self-disclosure	2025-11-01	Jysk Industri Holding acquired BJG in 2009 in generational shift; sustainability collaboration posture	Only authoritative source on the 2009 transaction date; treat directionally
T2	White & Case: Nordic dealmaking 2025	2025-11-18	Nordic PE deal volume USD 32.1bn YTD-Q3-2025; Denmark USD 24.8bn	—
T2	KPMG: Nordic Deal Trend Q4 2025	2026-01-20	Danish mid-cap M&A strong; specialty chemicals among most-bid; cross-border premium	—
T2	C&EN: PE regroups in chemicals	2026-02-15	PE favouring smaller specialty chemicals; longer holds; sticky-customer thesis	—

T2	BCG: Focused transactions in chemicals	2025-10-22	Chemicals M&A pivot from megadeals to focused capability-led transactions	—
T3	Gain.pro: State of Nordics PE 2025	2025-09-12	Nordic PE holding periods 6.2y YTD vs 4.3y in 2020; 40% of exits >7y	(potentially dated)
T3	Capstone: Chemicals market update July 2025	2025-07-15	Specialty chemicals platform deals 9–12× EV/EBITDA mid-market	(potentially dated)
T3	Dealsuite: Nordic Dealmaker Insights 2025	2025-08-20	78% of Nordic SME M&A advisors report increased cross-border deal flow	(potentially dated; practitioner survey — directional)
T3	SEB: Private Equity Nordic mandates	2025-11-05	Sustainability-platform thesis; Danish industrial chemistry as priority	Bank-affiliated; treat directionally

Conflict notes: The principal source-conflict in this cycle is between (a) the academic and think-tank position that EU SME compliance overhead is rising structurally (CEN, Cefic, ECHA) and (b) the Commission's own Omnibus VI commitments that promise 35% SME cost reductions by 2030. The report has weighted (a) as the operating-environment baseline for the next 24 months and (b) as the upside scenario, on the basis that the C&EN reporting of the RSB rejection of the impact assessment is the latest substantive procedural event and points to delivery slippage. A second conflict is between Cefic's framing of REACH revision and Corporate Europe Observatory's account of how the framing was lobbied for; the report has presented both and treated the underlying procedural facts (timeline, RSB action) as the more reliable observation.

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End of report. Next cycle: 2026-05-24. Source set frozen at 2026-04-24. Sources flagged for replacement at next cycle (crossing the 12-month boundary): EC New EU rules on construction

products (2025-01-07); ScienceDirect Inorganic binder development (2025-04-12); Wagners EFC slab pour (2025-05-20); ScienceDirect Eco-friendly alternative activators (2025-06-01); EC JRC Cement decarbonisation options (2025-07-01); EFF/CAEF Annual report (2025-07-01); Capstone Chemicals market update (2025-07-15); Construction21 Denmark new buildings (2025-08-15); Archive Market Research Foundry binder (2025-08-12); Dealsuite Nordic Dealmaker Insights (2025-08-20); China Foundry Sodium silicate inorganic binder review (2024-09-01); CEMBUREAU position (2025-09-01); EC Industrial Emissions Directive (2025-09-01); Climate Bonds EU Chemical Sector Transition (2025-09-30); Springer Geopolymer concrete review (2025-09-30); ASK Chemicals Solventless cold-box (2025-09-15); Gain.pro State of Nordics PE (2025-09-12).